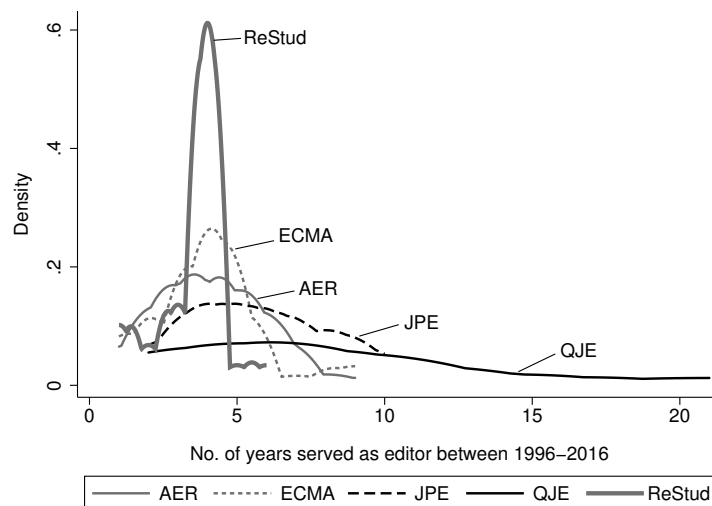


5 Openness and Incest

Figure 16: Density Plot for the Number of Years Served by Editors between 1996-2016



Source: Brogaard, Engelberg & Parsons (2014) for data until 2011. Data for subsequent years collected from journal front pages.

Note: The plot presents the density for the number of years served by editors of each journal between the years 1996 and 2016.

Monopolies restrict welfare. Oligopolies do little better. Openness and entry promote productivity, innovation, and the introduction of new ideas. [Card and DellaVigna \(2013\)](#) document the decline in the number of T5 papers published because T5 journal space is fixed in supply and papers have become longer. They show that demand for journal space has increased greatly in the face of fixed supply.⁶⁸ This has created a more competitive environment. Thus, it is likely that the cost and effort going into getting into the T5 has increased. This might mean that the average quality of papers published has gone up. It might also mean that more valuable resources of time and effort are being devoted to tailoring papers to please a certain group of editors. Although we have no evidence to prove this, the incentives to do so are clear.

One consequence of increased effort required to gain access to T5 is that scholars who have good reputations would avoid the rat race because they can secure a large readership

⁶⁸See Online Appendix Figure [O-A31](#)

by posting papers in prominent working paper series. Indeed, citation to working papers has become more prominent because of their greater availability and currency. Publication lags documented by [Card and DellaVigna \(2013\)](#) diminish readership of published papers. [Ellison \(2011\)](#) documents that highly-ranked scholars are placing fewer of their papers in the T5 journals.

Compounding the privately rational incentive to curry favor with editors is the phenomenon of longevity of editorial terms, especially at house journals. Professional associations generally limit the terms of editors. House journals have much looser limits. They retain editors with their special preferences for years. See Figure 16. Long tenure for editors inevitably creates a culture around them, their interests, and their research styles. The basic economics of incentives suggests that prospective authors cultivate these editors and cater to their whims. Such clientele effects are an inevitable feature of any journal. Turnover of editors limits the harm in non-house journals. House journals are much less likely to foster turnover. Journals published by professional associations generally have more rapid turnover, although some of the journals published by the American Economic Association are exceptions to this rule.

Long term lengths inevitably incentivize incest and inbreeding. Table 8 estimates “incest coefficients” for the T5 journals⁶⁹. The table documents the percentage of publications in the period 2000–2016 made by the Top 10 US departments as assessed by the US News

⁶⁹[Colussi \(2018\)](#) conducts a similar analysis for the “Top Four” journals (T5 excluding *ReStud*) using citations data for the period 2000–2006. His estimates of inbreeding are lower than ours: [Colussi \(2018\)](#) finds that Harvard faculty account for 15% of *QJE* publications during the period 2000–2006, and Chicago faculty account for 10% of *JPE* publications. The differences in the magnitude of the estimates are due to: (i) differences in the publication periods considered (2000–2016 in our analysis vs. 2000–2006 in [Colussi \(2018\)](#)); and (ii) differences in strategies for assigning author affiliation (we assign affiliation based on institutional affiliation reported by the authors in their publications, whereas [Colussi \(2018\)](#) assign affiliation based on employment data reported in authors’ Curriculum Vitae). The two assignment strategies can yield differing outcomes because the institution that a researcher is affiliated with when they complete their research (the affiliation picked up by our strategy) may be different than the institution where the researcher was hired when the work was eventually published (the affiliation picked up by matching date of publication with yearly employment data from CVs).

Despite differences in the magnitude of estimates, [Colussi \(2018\)](#)’s results lead to the same conclusion: “*ECA* and the *AER* seem to be more open than the *QJE* and *JPE*, which show a bias toward authors appointed at their host institutions.” The two sets of results thus complement each other by using different strategies, data sets, and time periods to arrive at the same mutually confirmed conclusion.

Table 8: Incest Coefficients: Publications in Top 5 between 2000-2016 by Author Affiliation Listed During Publication

	AER			ECMA			JPE			QJE			ReStud		
	Count	%	% All	Count	%	% All	Count	%	% All	Count	%	% All	Count	%	% All
Universities:															
Chicago	266	14.7%	7.7%	70	12.8%	6.8%	90	23.8%	14.3%	103	20.8%	15.4%	25	7.4%	3.5%
Columbia	169	9.4%	4.9%	28	5.1%	2.7%	27	7.1%	4.3%	43	8.7%	6.4%	33	9.8%	4.6%
Harvard	412	22.8%	11.9%	58	10.6%	5.7%	55	14.6%	8.7%	165	33.3%	24.7%	26	7.7%	3.7%
MIT	255	14.1%	7.3%	75	13.7%	7.3%	47	12.4%	7.5%	93	18.8%	13.9%	33	9.8%	4.6%
NYU	153	8.5%	4.4%	53	9.7%	5.2%	37	9.8%	5.9%	39	7.9%	5.8%	52	15.4%	7.3%
Northwestern	135	7.5%	3.9%	94	17.2%	9.2%	36	9.5%	5.7%	33	6.7%	4.9%	50	14.8%	7.0%
Princeton	166	9.2%	4.8%	54	9.9%	5.3%	24	6.3%	3.8%	39	7.9%	5.8%	34	10.1%	4.8%
Stanford	245	13.6%	7.1%	75	13.7%	7.3%	42	11.1%	6.7%	62	12.5%	9.3%	33	9.8%	4.6%
UCBerkeley	230	12.7%	6.6%	47	8.6%	4.6%	28	7.4%	4.4%	65	13.1%	9.7%	33	9.8%	4.6%
UPenn	162	9.0%	4.7%	48	8.8%	4.7%	38	10.1%	6.0%	26	5.3%	3.9%	46	13.6%	6.5%
Yale	134	7.4%	3.9%	88	16.1%	8.6%	23	6.1%	3.7%	33	6.7%	4.9%	22	6.5%	3.1%
UCL	53	2.9%	1.5%	39	7.1%	3.8%	15	4.0%	2.4%	11	2.2%	1.6%	32	9.5%	4.5%
University Combination:															
Harvard/MIT	597	33.0%	17.2%	122	22.3%	11.9%	94	24.9%	14.9%	225	45.5%	33.7%	53	15.7%	7.5%
Total (Top Afil.)	1807	100.0%	52.0%	546	100.0%	53.4%	378	100.0%	60.0%	495	100.0%	74.2%	337	100.0%	47.5%
Total (Non-Top Afil.)	1667	n/a	48.0%	476	n/a	46.6%	252	n/a	40.0%	172	n/a	25.8%	373	n/a	52.5%
Total (Top & Non-Top)	3474	n/a	n/a	1022	n/a	n/a	630	n/a	n/a	667	n/a	n/a	710	n/a	n/a

Source: Elsevier, Scopus.com.

Note: The table reports three columns for each T5 journal. The left most columns report the number of articles that were affiliated to each university. The middle columns present the percentage of articles published in the journal that were affiliated to the university out of all articles affiliated to the list top universities. The right most columns present the percentage of articles published in the journal that were affiliated to the university out of all articles published in the journal. An author is defined as being affiliated with a university during a given year if he/she listed the university as an affiliation in any publication that was made during that specific year. An article is defined as being affiliated with a university during a specific year if at least one author was affiliated to the university during the year.

rankings of economics departments,⁷⁰ plus New York University (ranked 13) and University College London (not ranked by the US News). The percentages shown are those attributed to scholars affiliated with a particular university for each T5 journal. The *JPE* has a high incest coefficient – 14.3% for Chicago affiliates; the non-house-affiliated *AER* has a relatively high incest coefficient for Harvard faculty who account for 11.9% of its publications⁷¹. Most conspicuous is the *QJE* with a 24.7% incest coefficient for Harvard affiliates and a 13.9%

⁷⁰The top 10 departments are determined based on an average of US News department rankings for the years 2008, 2010, and 2015.

⁷¹Chicago faculty account for only 7.7%

coefficient for MIT affiliates (the combined incest coefficient is over 33%).^{72,73}

Tenure committees abdicate their responsibilities if they rely too strongly on T5 publications in making their decisions. They effectively delegate the task of candidate evaluation to editors of the T5. This leads to a potentially dangerous concentration of power in the hands of a few editors and leaves the discipline vulnerable to potential bias and corruption within T5 editorial systems.

5.1 Corruption or Inside Information?

A number of studies have attempted to determine if there is corruption in the editorial process of economics journals by examining the extent to which an article's chances of publication are affected by the presence of connections between the article's authors and journal editors. Analyzing data on 1,051 articles published in 1984 by 28 leading economics journals (T5 included), [Laband and Piette \(1994\)](#) find that articles with author-editor connections are indeed more likely to be published. However, on average, these articles also tend to attract higher citations. [Brogaard et al. \(2014\)](#) find qualitatively similar results from their analysis of a more comprehensive sample of 50,000 articles published since 1955 by 30 top economics and finance journals. They estimate that authors publish twice as many papers in a journal when the journal is edited by a colleague, compared to periods when such department-editor networks do not exist. They also find that connected articles generate 5% – 25% more citations than unconnected articles on average. The authors of both studies conclude that their findings are suggestive of an underlying phenomenon whereby uncorrupt, article-impact-maximizing editors exploit their author-connections to identify high-potential papers. They conjecture that heterogeneous access to information for connected and unconnected

⁷²Some papers have multiple authors at MIT and Harvard. Thus, some percentages do not sum up. Except for Harvard faculty at the *AER*, the percentages for the non-house journals show little evidence of favoritism.

⁷³The relative high proportion of *AER* publications by Harvard faculty cannot be attributed to incest. Harvard faculty did not serve in the *AER* editorial board during the period being analyzed (see Online Appendix Table [O-A59](#)) Indeed the 11.9% figure might serve as a quality benchmark to down-weight the *QJE* incest coefficient.

papers makes it less expensive for editors to identify high-potential papers written by authors within their network, which in turn has the effect of simultaneously increasing both the number and quality of published articles authored by individuals within their network.

While indicative of the overall fairness of the editorial process within the top journals of economics, the aggregate nature of these analyses prevent the studies from shedding light on the prevalence of editorial corruption within the T5 – a small subsample of the journals analyzed by these studies. We are therefore none the wiser about corruption within the T5 and must continue to allow for its possible existence when evaluating the consequences of relying on the T5 to judge quality.

Despite the ambiguity regarding the prevalence and importance of corruption in T5 publishing, these results have important implications. If the explanations in the literature hold for the T5 journals, tenure-track faculty with connections to T5 editorial boards gain an advantage over colleagues who lack such networks. While this may be a fair practice from the perspective of an editor seeking to maximize article impact conditional on his/her information set, it would be unfair from the perspective of an unconnected author whose tenure outcome is closely tied to the T5 editor’s decision which, if correctly conjectured, is biased against unconnected authors. Therefore, given the available evidence, one must allow for the possibility of strong network bias against tenure-track faculty who lack connections with T5 editors, regardless of whether such bias stems from blatant editorial corruption or from the above conjectured impact-maximizing behavior of editors who seek quality papers.⁷⁴

Biases stemming from informational efficiencies associated with author-editor networks are inevitable. Out of sight, out of mind. Also relevant are the effects that an editor’s ideological and methodological biases might have on editorial decisions. Such biases could operate both directly through the editor by affecting the manner in which the editor assesses

⁷⁴Bertsimas, Brynjolfsson, Reichman, and Silberholz (2015) study the power of (short term) network connections in predicting future citations in Operations Research and Management Science. Their analysis implicitly documents the power of membership in networks. Membership in a network fosters more citations, but may also transmit knowledge. The evidence by Ellison (2011) that top scholars are relying more on internet posts suggests the power of incumbency and points to the value of a PLOS system. See Eisen (2013)